

Ex. 1
From the following data relating to the ABC E. Co. for the year 2019 - 2022, calcⁿ the trend % (Taking 2019 as base year).

Particulars	2019	2020	2021	2022
Net Sales	2,00,000 ✓	1,90,000	2,40,000	2,60,000
less:- Cost of goods sold	1,20,000 ✓	1,17,800	1,39,200	1,45,600
Gross profit	80,000 ✓	72,200	1,00,800	1,14,400
less:- Exp ⁿ	20,000 ✓	19,400	22,000	24,000
Net profit	60,000 ✓	52,800	78,800	90,400

$$\text{Trend \%} = \frac{\text{Current year value}}{\text{Base year value}} \times 100$$

$$816702 \quad 2019 = \frac{2,00,000}{2,00,000} \times 100 = 100 \quad (\text{Net Sales})$$

$$2020 = \frac{1,90,000}{2,00,000} \times 100 = 95$$

$$2021 = \frac{2,40,000}{2,00,000} \times 100 = 120$$

$$2022 = \frac{2,60,000}{2,00,000} \times 100 = 130$$

→ Cost of Goods Sold,

$$2019 = 100$$

$$2020 = \frac{1,17,800}{1,20,000} \times 100 = 98.16$$

$$2021 = \frac{1,39,200}{1,20,000} \times 100 = 116$$

$$2022 = \frac{1,45,600}{1,20,000} \times 100 = 121.33$$

→ Gross profit :-

$$2019 = 100$$

$$2020 = \frac{72200}{80,000} \times 100 = 90.25$$

$$2021 = \frac{1,00,800}{80,000} \times 100 = 126$$

$$2022 = \frac{1,14,400}{80,000} \times 100 = 143$$

→ Exp. :-

$$2019 = 100$$

$$2020 = \frac{19,400}{20,000} \times 100 = 97$$

$$2021 = \frac{22,000}{20,000} \times 100 = 110$$

$$2022 = \frac{24,000}{20,000} \times 100 = 120$$

→ Net profit :-

$$2019 = 100$$

$$2020 = \frac{52,800}{60,000} \times 100 = 88$$

$$2021 = \frac{78,800}{60,000} \times 100 = 131.33$$

$$2022 = \frac{90,400}{60,000} \times 100 = 150.67$$

Final Trend Percentage Table :-

Particulars	2019 %	2020 %	2021 %	2022 %
Net Sales	100 %	95 %	120 %	130 %
Cost of Goods sold	100 %	98.17 %	116 %	121.33 %
Gross Profit	100 %	90.25 %	126 %	143 %
Expenses	100 %	97 %	110 %	120 %
Net Profit	100 %	88 %	131.33 %	150.67 %

PROBLEMS BASED ON COMPARITIVE INCOME STATEMENTS :-

1) From the following information, prepare Comparative Income Statement :-

Particulars	31/3/2013	31/3/2014
Sales	10,00,000	8,00,000
Cost of Goods sold	6,00,000	4,00,000
Adm, Selling and Distribution Exp.	2,00,000	1,40,000
Other Incomes	40,000	20,000
Income Tax	120,000	1,40,000

-> Comparative financial Statement of 2 or more years are compared to study changes in figures & percentage.

$$\text{formula} = \% \text{ change} = \frac{\text{absolute change}}{\text{base value}} \times 100$$

absolute change

→ Comparative Income Statement :-

	Particulars	2013(₹)	2014(₹)	Increase/ Decrease
	Sales	10,00,000	8,00,000	(-) 2,00,000
(-)	Cost of Goods sold	6,00,000	4,00,000	(-) 2,00,000
GP	Gross profit	4,00,000	4,00,000	No change -
(-)	Adm. Selling & Distribution exp.	2,00,000	1,40,000	(-) 60,000
OP	Operating Profit	2,00,000	2,60,000	(+) 60,000
(+)	Other Income	40,000	20,000	(-) 20,000
PBT	PBT	2,40,000	2,80,000	(+) 40,000
(-)	Income Tax (less)	1,20,000	1,40,000	(+) 20,000
	net profit or PAT	1,20,000	1,40,000	(+) 20,000

→ Working note :-

① calⁿ of Gross profit :-

$$\text{Gross profit} = \text{Sales} - \text{cost of goods sold}$$

$$2013 = 10,00,000 - 6,00,000 = 4,00,000$$

$$2014 = 8,00,000 - 4,00,000 = 4,00,000$$

② calⁿ of Operating Profit :-

$$\text{O.P.} = \text{Gross profit} - \text{Adm. Selling \& Dis. exp.}$$

$$2013 = 4,00,000 - 2,00,000 = 2,00,000$$

$$2014 = 4,00,000 - 1,40,000 = 2,60,000$$

③ calⁿ of (add other Income)

PBT = Operating Profit + Other Income :-

$$2013 = 2,00,000 + 40,000 = 2,40,000$$

$$2014 = 2,60,000 + 20,000 = 2,80,000$$

(4) Deduct Income Tax :-

$$2013 = 2,40,000 - 1,20,000 = 1,20,000$$

$$2014 = 2,80,000 - 1,40,000 = 1,40,000$$

- Trend Analysis means financial data of several years or analysed to identify the direction [increasing / decreasing of Profit performance or position].

$$\text{Trend \% Index} = \frac{\text{Current year}}{\text{Base year}} \times 100$$

→ From the following trial balance prepare final accounts of Nishi Trading Company limited for the accounting period 31st March, 2014.

Sl. no.	Particulars	Debit ₹	Credit ₹
1.	Sales	-	6,54,000
2.	General reserve	-	12,000
3.	Opening Inventories	58,400	-
4.	Trade Payable	-	25,890
5.	Purchase of Goods	2,32,080	-
6.	Dep. on Tangible assets	15,500	-
7.	Trade receivables	85,000	-
8.	Salary Exp.	98,470	-
9.	PBD	-	5,000
10.	Cash & cash equivalents	35,500	-
11.	Tangible assets	1,55,000	-
12.	Freight	48,880	-
13.	Amortization on T.A.	18,500	-
14.	Drawings Exp.	42,860	-
15.	Share Capital (A.D. of 100 each)	-	2,50,000
16.	P&L A/c	-	7,000
17.	Preliminary Exp.	20,000	-
18.	Prepared fuel	54,200	-
19.	Bad Debts	3,500	-
20.	Intangible assets	86,000	-
	Total	9,53,890	9,53,890

Obj. 5

Obj. 5. Closing Inventories ₹ 28,880

• create Provision for taxation at 30%.

• write off 1/5th of Preliminary Exp.

• Directors proposed dividend of 15%.

• write off ₹ 5,500 as Bad Debts & maintain PBD

@ 10% in Debtors

from the following data

can the trend %

particular	2016	2017	2018	2019
Cash	100	120	80	140
Debtors	200	250	325	400
Stock	300	400	350	500
Other C.A.	50	75	125	150
land	400	500	500	500

Value:-

particular	2016	%	2017	%	2018	%	2019	%
Cash	100		120		80		140	
Debtors								
Stock								
Other C.A.								
land								

Particulars	2016	%	2017	%	2018	%	2019	%
Cash	100	100%	120	120%	80	80%	140	140%
Debtors	200	100%	250	125%	325	162.5%	400	200%
Stock	300	100%	400	133.33%	350	116.67%	500	166.67%
Other C.A.	50	100%	75	150%	125	250%	150	300%
land	400	100%	500	125%	500	125%	500	125%
Total	1050	100%	1345	128.09%	1380	131.42%	1690	160.95%

∴ 2016 → 100%
 2017 → 128.09%
 2018 → 131.42%
 2019 → 160.95%

2016 2017
 100 → 128.09 = 28.09 ↑
 2018 → 2019
 131.42 → 160.95 = 29.53 ↑

Ex: 8

→ Comparative Balance Sheet of Sai Corp.
as on 31/3/2020 & 31/3/2019.

Particulars	31/3/20	31/3/19	Increase	Decrease	%
<u>Equity & Liabilities</u>					
Share Capital	16,50,000	16,00,000	50,000	-	3125
Reserve & Surplus	1,00,000	2,50,000	-	1,50,000	60%
Long term borrow	8,00,000	7,00,000	1,00,000	-	14.28
creditors	3,00,000	2,50,000	50,000	-	20%
Total	28,50,000	28,00,000	50,000	1,50,000	178%
<u>Assets :-</u>					

Ex: 8

Particulars	2020	2019
Share Capital	16,50,000	16,00,000
fixed assets	20,00,000	17,50,000
6% Govt. Bonds	3,00,000	3,00,000
long-term Borrowing	8,00,000	7,00,000
reserve & surplus	1,00,000	2,50,000
Short-term investment	2,00,000	2,50,000
stock	3,00,000	4,00,000
creditors	3,00,000	2,50,000
cash	50,000	1,00,000

Ex: 8

→ Comparative Balance Sheet of Sai Corp. as on 31/3/2020 & 31/3/2019.

	Particulars	2019	2020	absolute ↑↓	Percentage
I	Equity & liabilities				
	Share Capital	16,00,000	16,50,000	(+) 50,000	3.125%
	Reserve & Surplus	2,50,000	1,00,000	(-) 1,50,000	(-) 60%
*	<u>Non-Current liabilities</u>				
	Long-term borrowing	7,00,000	8,00,000	(+) 1,00,000	14.28%
*	<u>Current liabilities</u>				
	Creditors	2,50,000	3,00,000	(+) 50,000	20%
	Total	28,00,000	28,50,000	50,000	1.78%
II	<u>Assets:-</u>				
*	<u>Non-current Assets</u>				
	a. fixed assets	17,50,000	20,00,000	(+) 2,50,000	14.28%
	b. Long-term Investment				
	→ 6% Govt. Bonds	3,00,000	3,00,000	—	—
*	<u>Current Assets</u>				
	• Short-term Investment	2,50,000	2,00,000	(-) 50,000	(-) 20%
	• Stock	4,00,000	3,00,000	(-) 1,00,000	(-) 25%
	• cash	1,00,000	50,000	(-) 50,000	(-) 50%
	Total	28,00,000	28,50,000	50,000	1.78%

→ calⁿ of current Ratio of Arian Ltd.
 Balance Sheet :- as on 31/3/2020.

Particulars	Amount
→ <u>Current liabilities</u> :-	
Trade Creditors	30,000
Bills payable	40,000
o/s exp	15,000
Bank overdraft	20,000
Provision for tax	25,000
<u>Total current liabilities</u>	<u>1,30,000</u>
→ <u>Assets</u> :-	
* <u>current Assets</u> :-	
Stock	1,00,000
Debtors	45,000
Marketable Securities	40,000
Cash	60,000
Bills receivable	55,000
Prepaid exp	10,000
<u>Total current Assets</u>	<u>3,10,000</u>

Current ratio

$$\text{Current Ratio} = \frac{\text{Current Assets}}{\text{Current liabilities}}$$

$$CR = \frac{3,10,000}{1,30,000}$$

$$CR = 2.38 \text{ or } 2.38:1 //$$

→ Calc of quick ratio :-

→ Current liabilities :-

Particulars	Amount
Sundry Debtors ^{S.}	150,000
B/P	20,000
Creditors for Exp....	10,000
Bank overdraft	300,000
Total	4,80,000

→ Quick Assets :-

S. Debtors	72,000	
(-) PDD	2,000	70,000
Cash in hand		15,000
Cash at bank		1,10,000
Short-term Investment		1,60,000
Total		3,55,000

$$\text{Quick Ratio} = \frac{\text{Quick Assets}}{\text{Quick / Current liabilities}}$$

$$\text{Quick Ratio} = \frac{3,55,000}{4,80,000}$$

$$\text{Quick Ratio} = 0.73 : 1$$

- L.A. L.L.
- * Cash & cash E.
 - * Marketable securities
 - * Receivables
 - * Other
 - * A/c payable
 - * Short-Term Debt
 - * accrued exp. (wages, interest)
 - * Tax payable

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→ calⁿ of absolute liquid ratio :-

Particulars	Amount
→ <u>absolute liquid liabilities :-</u>	
Sundry Creditors	1,20,000
Bills Payable	1,80,000
o/s exp.	60,000
<u>Total</u>	<u>3,60,000</u>
→ <u>absolute liquid assets :-</u>	
Cash at bank	60,000
Marketable Securities	3,00,000
Cash in hand	90,000
Bills receivable	80,000
<u>Total</u>	<u>5,30,000</u>

$$\text{Absolute liquid ratio} = \frac{\text{absolute liquid assets}}{\text{absolute liquid liabilities}}$$

$$L.R. = \frac{5,30,000}{3,60,000}$$

$$L.R. = 1.472 : 1 //$$

→ Types of ratio :-

1. liquidity ratio (short-term)
2. Solvency ratio (long-term)
3. Profitability ratio
4. Turn-over ratio / activity

→ In liquidity ratio there are 3 types :-

- * current ratio
- * Quick ratio
- * cash ratio

→

Bank Reconciliation Statement

[illegible]

- > Amt issued by cheque (we have to record in Payment side).

Paula

- Cash = Debit - favorable (+) [Receipt > payment] (+)
- Cash = Credit - unfavorable (-) [payment < Receipt] (-)
- Pass book = Credit - fav. (+) (payment > deposit) (+)
- Pass book = Debit - unfav. (-) (deposit > payment) (-)

Problem (1)

- ⑤ *
- * Bank Balance as per book - 5500.
- * cheques issued but not presented for payment 400
- * cheque deposited but not credited in P/B 300
- * Bank charges deposited only in P/B 20.
- * Interest on Investment credited only in P/B 200.

Solve:-

BRS

Particular	Ant	Ant
① Bank Balance		5,500
<u>less:-</u> cheque issued	400	
<u>add:-</u> cheque Deposite	300	
<u>add:-</u> Bank charges	20	320
<u>less:-</u> Interest on Investment	200	
		5,820
<u>less:-</u>		600
BRS		<u>5,220</u>

→ BRS is a document that compares a company's internal accounting records (the cash book) with the records provided by the bank (the Bank Statement).

→ why?

to ensure the accuracy of financial records, & detect the fraud & manage the cash flow effectively.

- * Insuring Accurate Records
- * Tracking Bank charges & Interest
- * facilitating Audits & compliance.
- * Detecting the errors & frauds.

Solvency / leverage ratio :-

① $\text{Debt Equity ratio} = \frac{\text{Total long-term Debt}}{\text{Shareholders fund}}$

$\text{Debt Equity ratio} = \frac{\text{External Equities}}{\text{Internal Equities}}$

* $\text{Total long-term Debt} / \text{External Equities} =$
 Debentures + term loans + loan on mortgage + loans from financial institutions + other long-term loans + redeemable preference share capital.

* $\text{Shareholders fund} / \text{Internal Equities} =$
 Equity share capital + Ir-redeemable preference shares + capital + capital reserve + retained earnings + any earn marked surplus.

② $\text{Proprietary ratio} = \frac{\text{Proprietary funds}}{\text{Total assets}}$

③ Interest coverage ratio / Debt Services ratio :-

$\text{ICR} = \frac{\text{Net profit before Int. \& Taxes}}{\text{Int. on long term Debt}}$

④ $\text{Capital Gear ratio} =$

$\frac{\text{Equity share Capital + Reserve \& Surplus}}{\text{Preference share capital + long-term Debt bearing fixed int}}$

* Profitability ratio :-

① $\text{Gross profit ratio} = \frac{\text{Gross profit}}{\text{net sales}} \times 100$

3.5%

3,59,000 - 100000

2,50,000

83%

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0.44
un%

$$\begin{aligned} \text{Gross profit} &= \text{net sales} - \text{cost of goods sold} \\ &= \text{cost of Goods Sold} = \text{opening stock} \\ &\quad \text{add :- purchase (net)} \\ &\quad \text{Direct expenses} \\ &\quad \text{less :- closing stock} \end{aligned}$$

$$\text{net sales} = \text{Total sales} - \text{sales return.}$$

$$\text{② net profit ratio} = \frac{\text{net profit before tax (PPBT)}}{\text{net sales}} \times 100$$

two different approaches :-

$$\text{pp} = \frac{\text{net profit before tax}}{\text{net sales}} \times 100$$

$$\text{pp} = \frac{\text{net profit after tax}}{\text{net sales}} \times 100$$

$$\text{③ operating ratio} = \frac{\text{cost of goods sold} + \text{operating exp}}{\text{net sales}} \times 100$$

$$\text{operating profit ratio} = \frac{\text{operating ratio profit}}{\text{net sales}} \times 100$$

$$\text{exp. ratio} = \frac{\text{amt of exp.}}{\text{net sales}} \times 100$$

$$\frac{100 - \text{O.P. ratio}}{100} = \text{O.P. ratio}$$

$$\text{earnings per share (EPS)} = \frac{\text{NPAT, Int. \& preference Dividend}}{\text{no. of equity share}}$$

* Activity / Turnover ratios :-

$$(1) \text{ fixed assets turnover ratio} = \frac{\text{net sales}}{\text{net fixed assets}}$$

net sales = Gross sales - sales return

net fixed assets = Gross fixed assets - Depreciation

$$(2) \text{ stock turnover ratio} = \frac{\text{cost of goods sold}}{\text{Average Inventory}}$$

cost of goods sold = Sales - Gross profit.

cost of ^{or} GS = opening S. + Purchase + Direct exp. - closing stock.

$$\text{Average stock} = \frac{\text{opening stock} + \text{closing stock}}{2}$$

$$(3) \text{ Debtors turnover ratio} = \frac{\text{net credit sales}}{\text{Average Account receivable} \div \text{Average Trade Debtors}}$$

A/c receivable = Debtors + B/R

$$\text{Avg A/c receivable} = \frac{\text{O.P. A/c receivable} + \text{cls. A/c receivable}}{2}$$

If information relating to Credit Sales & Average Debtors is not available, the ratio can be worked out.

$$\text{Debtors turnover ratio} = \frac{\text{Total sales}}{\text{closing Debtors}}$$

$$(4) \text{ creditors turnover ratio / payable TR :-}$$

$$CTR = \frac{\text{net credit purchase}}{\text{Avg. Trade Creditors}}$$

net credit purchase = Gross credit purchase - purchase return

$$\text{Avg. Trade purchase} = \text{creditors} + B/P$$

Ex 1 M/S ABC Ltd. presents to you the following Data:

Ans
 2019
 S.P. Sum

Particulars	₹	Particulars	₹
Equity Capital	10,00,000	fixed assets	10,00,000
Reserve fund	1,00,000	Stock	4,00,000
Debentures	3,00,000	prepaid exp.	1,00,000
Overdraft	2,00,000	Debtors	2,00,000
creditors	3,00,000	cash	2,00,000
Total	19,00,000	Total	19,00,000

—> Compute :- i% Current ratio, ii% Acid test ratio
 iii% Debt equity ratio, iv% Stock to working capital ratio, v% proprietary ratio.

Value

i% Current ratio = $\frac{\text{Current Assets}}{\text{Current Liabilities}} = \frac{9,00,000}{5,00,000} = 1.8:1$

Current Assets = Stock + prepaid exp. + Debtors + Cash
 = 4,00,000 + 1,00,000 + 2,00,000 + 2,00,000
 = 9,00,000

Current lia. = Overdraft + Creditors
 = 2,00,000 + 3,00,000 = 5,00,000

ii% Acid test ratio = (Quick ratio) = $\frac{\text{Quick Assets}}{\text{Current Liabilities}}$
 Stock - prepaid

Q. Assets = 9,00,000 - 4,00,000 - 1,00,000 = 4,00,000
 = $\frac{4,00,000}{5,00,000} = 0.8:1$

Lia. = Creditors + Overdraft = 3,00,000 + 2,00,000 = 5,00,000
 = Total lia. - (Bank overdraft)
 = 5,00,000 - 2,00,000 = 3,00,000

$$ii) \quad OR = \frac{4,00,000}{5,00,000} = 0.8 : 1$$

$$iii) \quad \text{Debt Equity ratio} = \frac{\text{Total long-Term Debt}}{\text{Shareholders fund}}$$

$$\text{Total long-Term Debt} = \text{Debentures} \\ = 3,00,000$$

$$\text{Shareholders fund} = \text{Equity Share Cap.} + \text{Capital reserve} \\ = 10,00,000 + 1,00,000 \\ = 11,00,000$$

$$D.E.R = \frac{3,00,000}{11,00,000} = 0.27 : 1 //$$

$$iv) \quad \text{Stack to (Working Capital ratio)} = \frac{\text{Current Assets} - \text{Current Liabilities}}{\text{Working Capital}}$$

$$W.C.R = 9,00,000 - 5,00,000 = 4,00,000$$

$$\text{Stack to working Capital} = \frac{4,00,000}{4,00,000} = 1 : 1 //$$

$$V \quad \text{Proprietary ratio} = \frac{\text{Shareholders funds}}{\text{Total assets}} \\ = \frac{11,00,000}{19,00,000} = 0.57 : 1 //$$

$$\text{So, The Current ratio} = 1.8 : 1$$

$$\text{Acid Test ratio} = 0.8 : 1$$

$$\text{Debt Equity ratio} = 0.27 : 1$$

$$\text{Stack to working C. ratio} = 1 : 1$$

$$\text{Proprietary ratio} = 0.57 : 1 //$$

Q.2

from the data calⁿ gross profit ratio, net profit ratio, inventory turnover ratio, return on total assets & working capital turnover ratio.

Particulars	₹	Particulars	₹
Sales	25,20,000	Other current assets	7,60,000
Cost of Sale	19,20,000	fixed assets	14,40,000
net profit	3,60,000	net worth	15,00,000
Inventory	8,00,000	Debits	9,00,000
current liability	6,00,000		

Solve: Gross profit ratio = $\frac{\text{Gross profit}}{\text{net sales}} \times 100$ 0.35

$$= \frac{6,00,000}{25,20,000} \times 100 = 23.80\%$$

* So, G.P = ~~net~~ Sales - Cost of Goods Sold
 $= 25,20,000 - 19,20,000$
 $= 6,00,000$

* net Sales = 25,20,000

→ net profit ratio = $\frac{\text{net profit before tax}}{\text{net sales}} \times 100$
 $= \frac{3,60,000}{25,20,000} \times 100 = 14.28\%$

→ Inventory turnover ratio = $\frac{\text{cost of sales}}{\text{Average Inventory}}$
 $= \frac{19,20,000}{8,00,000} = 2.4 \text{ times}$

$$\rightarrow \text{Return on total assets} = \frac{\text{net profit}}{\text{total assets}} \times 100$$

$$= \frac{3,60,000}{30,00,000} \times 100 = 12\%$$

$$\star \text{ Total assets} = \text{Inventory} + \text{Other C.A} + \text{fixed assets}$$

$$= 8,00,000 + 7,60,000 + 14,40,000$$

$$= 30,00,000$$

$$\rightarrow \text{working Capital turnover ratio} =$$

$$= \frac{\text{Sales}}{\text{working capital}}$$

$$= \frac{25,20,000}{9,60,000} = 2.625$$

$$\star \text{ working Capital} = \text{Current assets} - \text{Current liabilities}$$

$$= 15,60,000 - 6,00,000$$

$$= 9,60,000$$

$$\text{So, The Gross profit ratio} = 23.80\%$$

$$\text{net profit ratio} = 14.28\%$$

$$\text{Inventory turnover ratio} = 2.4$$

$$\text{Return on total assets} = 12\%$$

$$\text{working Capital turnover ratio} = 2.625 //$$

cap. emp. TR = $\frac{\text{net Annual Sales}}{\text{Avg. Cap. emp. TR}}$

Avg. Cap. emp. TR

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Sales $\rightarrow$ 10,50,000

w/c $\rightarrow$ 1,50,000

T/A $\rightarrow$ ~~2,50,000~~ 5,25,000

Cap. Employee $\rightarrow$ 3,50,000

F/A $\rightarrow$ 2,10,000

caln. Employee turnover ratio ⁽¹⁾, fixed turnover ratio ⁽²⁾ & working capital turnover ratio ⁽³⁾, total assets turnover ratio

$$\text{Employee turnover ratio} = \frac{\text{Total Separations (employee left)}}{\text{Avg. no. of employees}} \times 100$$

$$\text{(2) total assets TR} = \frac{\text{net Sales}}{\text{Avg. total assets}} = \frac{10,50,000}{5,25,000} = 2 \text{ times.}$$

$$\text{(3) fixed TR} = \frac{\text{net Sales}}{\text{net F. assets}} = \frac{10,50,000}{2,10,000} = 5$$

$$\text{(4) w/c} = \frac{\text{net Sales}}{\text{w/c}} = \frac{10,50,000}{1,50,000} = 7 \text{ times.}$$

$$\text{rate}^\circ - \text{Avg. employees} = \frac{\text{OP Stock} + \text{clo. S}^{\text{emp.}}}{2}$$

Profitability ratio

Given Data,
Op. Stock = 1,00,000
Pur... = 3,50,000
Wages = 9,000

To Gross profit = 2,01,000
6,60,000

Adm. Exp... = 20,000

Sell. Dis. Exp = 89,000

Man - O. Exp = 30,000

Net P.A. Tax = 80,000

Net sales = 5,60,000
closing stock = 1,00,000

(6,60,000)

Gross profit b/d 2,01,000

Int. on Invest... 10,000

Profit on Sales 8,000

of assets

- calⁿ 1. Gross profit ratio
2. Net profit ratio
3. Operating ratio
4. Operating profit ratio
5. Adm. Exp. ratio

$$\textcircled{1} \text{ Gross profit ratio} = \frac{\text{Gross profit}}{\text{Net sales}} \times 100$$

$$= \frac{2,01,000}{5,60,000} \times 100 = 35.89\%$$

$$\textcircled{2} \text{ Net profit ratio} = \frac{\text{Net profit}}{\text{Net sales}} \times 100$$

$$= \frac{80,000}{5,60,000} \times 100 =$$

Theory part

1. Final A/c:- final accounts are the financial statements prepared at the end of an accounting period to know the profit/loss & financial position of a business.
 - * Trading A/c
 - * P/L A/c
 - * Balance sheet.
2. Balance sheet:- A balance sheet is a financial statement that shows the financial position of a business on a specific date.
 - * Assets (what business owns)
 - * Liabilities (what " owes)
 - * Capital / owners equity.
3. Financial Statement:- these are reports that show the financial performance & position of a business.
 - * Trading A/c
 - * P/L A/c
 - * B/S
 - * cash flow statement.
4. Purpose/imp. of FAS:-
 - * To know P/L of business
 - * To understand financial position
 - * To help in decision-making
 - * To provide information to investors & creditors.
 - * To evaluate business performance.
5. Tools & Techniques of FSA:-

These are the methods used to study & interpret financial statements.

- * Comparative Analysis
- * Trend "
- * Ratio "
- * Common Size "

6. P/L A/c :- P/L A/c is a financial statement that shows the net profit/net loss of business.

Bank Reconciliation Statement

→ Meaning of BRS:- BRS is a document that compares a company's internal accounting records (the cash book) with the records provided by the bank (the Bank Statement).

or
It is a statement prepared to compare the bank balance shown in the cash book with the balance shown in the bank passbook (bank statement) and to find the reasons for differences.

→ why?

- * because to ensure the accuracy of financial records & detect the fraud & manage the cash flow effectively.
- * Tracking bank charges & interest.
- * Facilitating audits & compliance.
- * Detecting the errors & frauds.
- * To know about the flow of cash.

→ Cash book:- A cash book is a financial record maintained by a business to record all cash & bank transactions (money received & money paid).

- * maintained by the business.
- * shows cash receipts & payments.
- * acts as both a journal & ledger.
- * helps track daily cash balance.

→ Pass book:- A pass book is a book issued by a bank to its customers that records all transactions in the customer's bank A/c.

- * maintain by the bank.
- * shows deposits, withdrawals, & bank charges.

Problem
①

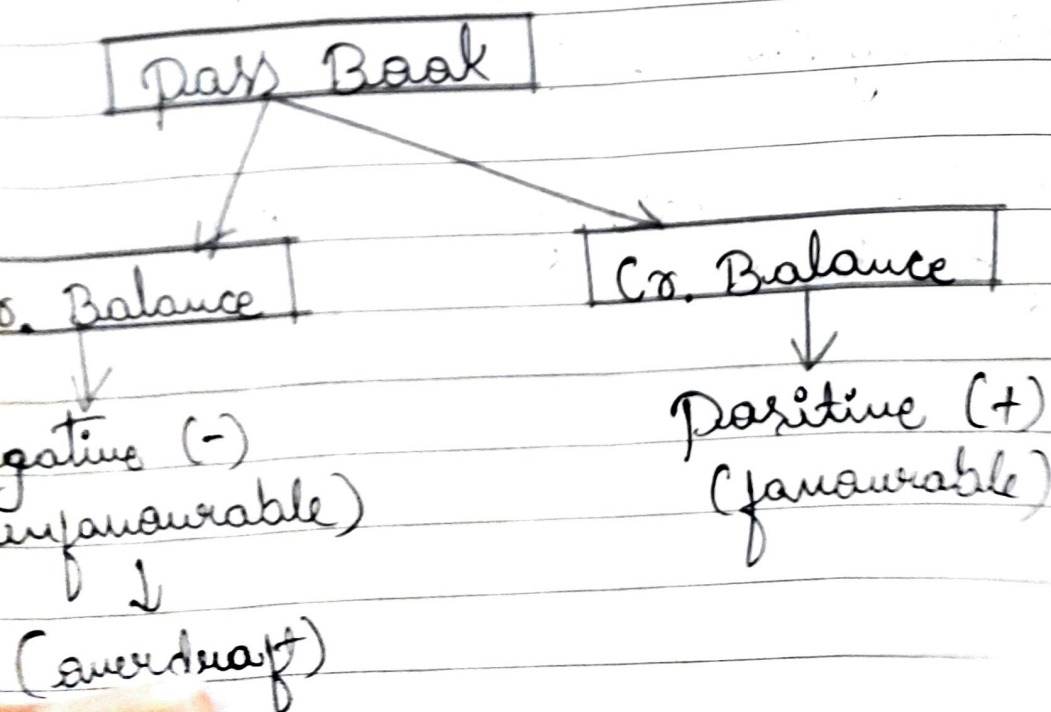
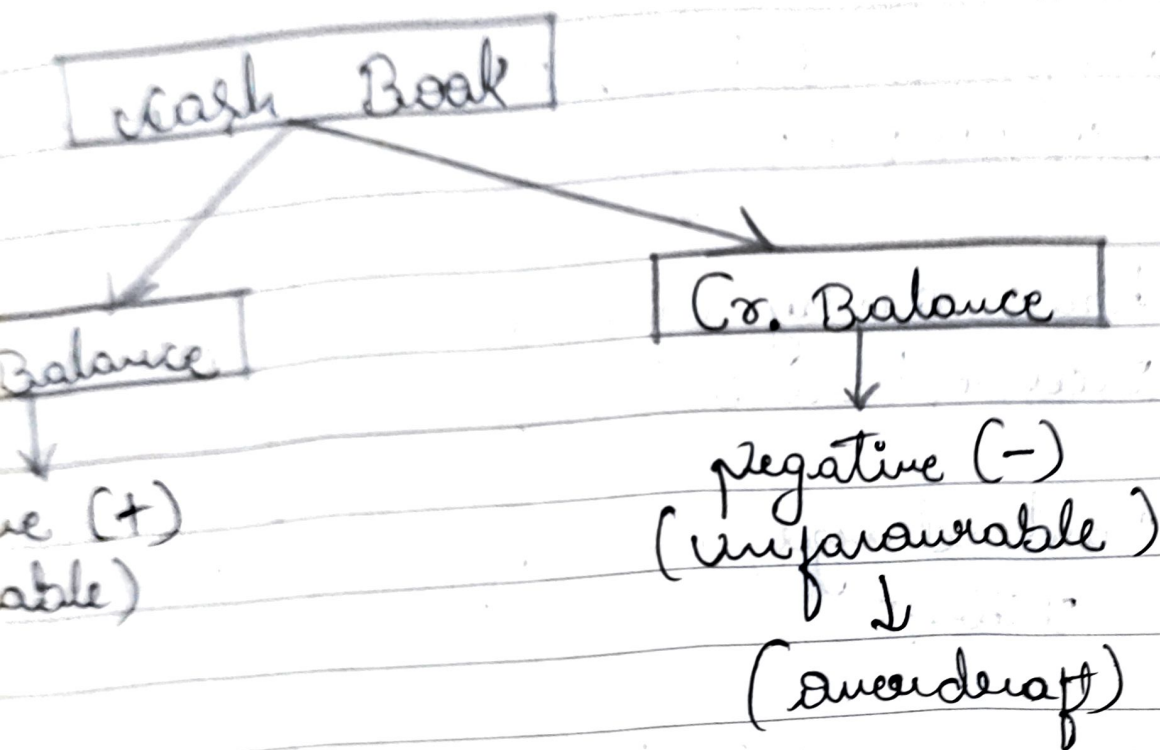
- Bank Balance as per book — 5500
- cheques issued but not present for payment 400
- cheque deposited but not credited in P/B 300
- Bank charges deposit only in P/B 20
- Interest on Investment credited only in P/B 200

Solution:

∴ Bank Reconciliation Statement :-

Particular	Dr	Cr
① <u>Bank Balance</u>	—	5500
<u>add</u> :- cheque Deposit	300	
<u>add</u> :- Bank charges	20	320
<u>less</u> :- cheque issued	400	
<u>less</u> :- Interest on Investment	200	600
<u>BRS</u>		<u>5220</u>

Bank Reconciliation Statement :-



Particulars	Cash book	Pass book
→ cheque issued but not presented for payment.	minus	plus
→ bank directly collected income, bank interest.	minus	plus
→ Bank charges, overdraft interest.	plus	minus
→ cheque deposited but not collected by the bank.	plus	minus
→ payment made directly by the bank.	plus	minus

→ format for BRS :-

Particulars	Amount (₹)
Balance as per Cash book	xxx
<u>Add :-</u>	
* cheques issued but not presented	xxx
* bank charges not recorded	xxx
* Direct deposits by customers	xxx
<u>less :-</u>	
* cheques deposited but not cleared	xxx
* bank interest not recorded	xxx
* error in cash book	xxx
Balance as per Statement	xxxx

→ Balance as per pass book

xxx

Add :-

- * cheques deposited but not cleared.
- * Bank charges wrongly debited.

xxx

xxx

less :-

- * cheques issued but not presented.
- * Direct deposits not recorded in cash book

xxx

xx

Balance as per cash book

xxx